IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. [ ]

BETWEEN:

CALVERTON INDUSTRIES LIMITED

(Company number 02844117)

Claimant

- and -

FERNCLIFFE ALLOYS LIMITED

(Company number 03991268)

Defendant

PARTICULARS OF CLAIM

The parties

1. The Claimant is a company incorporated in England and Wales which carries on business as a manufacturer of precision industrial fasteners and fluid-handling components, including marine and offshore fastener assemblies.
2. The Defendant is a company incorporated in England and Wales which carries on business as a stockholder and supplier of stainless and special-steel bar and section.

The Supply Agreement

3. By a written framework supply agreement dated 14 March 2022 made between the Claimant and the Defendant ("the Supply Agreement"), the Defendant agreed to supply the Claimant with stainless steel bar and section in accordance with specifications to be notified by the Claimant in individual purchase orders placed from time to time.
4. The Supply Agreement contained, among others, the following express terms:
   (a) by clause 6.1, that all Goods supplied would correspond with the description and specification set out in the relevant Purchase Order and would comply with the applicable British, European and/or ASTM standards referred to therein;
   (b) by clause 6.2, that all Goods would be of satisfactory quality and fit for any purpose made known by the Claimant to the Defendant;
   (c) by clause 9.1, that each delivery of Goods would be accompanied by a valid mill test certificate complying with EN 10204 type 3.1 certifying the chemical composition and mechanical properties of the Goods; and
   (d) by clause 14, that the Supply Agreement and any dispute or claim arising out of it would be governed by the law of England and Wales and subject to the exclusive jurisdiction of the courts of England and Wales.
5. It was further an implied term of each contract of sale formed by the placing and acceptance of a Purchase Order under the Supply Agreement that:
   (e) the Goods would correspond with their description, pursuant to section 13 of the Sale of Goods Act 1979;

Whitfield Carter LLP is a limited liability partnership registered in England and Wales (OC394821). Authorised and regulated by the Solicitors Regulation Authority. Confidential and may be legally privileged.

(f) the Goods would be of satisfactory quality, pursuant to section 14(2) of the Sale of Goods Act 1979; and

(g) the Goods would be reasonably fit for the purpose made known by the Claimant, namely incorporation into marine fastener assemblies for use in coastal, marine and offshore environments, pursuant to section 14(3) of the Sale of Goods Act 1979.

The Purchase Orders and the Goods

6. Between 8 January and 19 June 2024 the Claimant placed, and the Defendant accepted and fulfilled, the following Purchase Orders for grade 316L austenitic stainless steel bar to ASTM A276 / BS EN 10088-3, with a specified minimum 0.2% proof strength of 200 N/mm² and a specified molybdenum content of between 2.0% and 3.0%:

Purchase Order	Date	Diameter	Quantity (kg)	Heat numbers
PO-2024-0112	08.01.2024	16mm	9,200	H-4318
PO-2024-0188	26.02.2024	12mm / 20mm	11,400	H-4402, H-4419
PO-2024-0241	09.04.2024	16mm	10,600	H-4471, H-4472
PO-2024-0307	19.06.2024	20mm	10,400	H-4488

7. In respect of each delivery the Defendant supplied a mill test certificate purporting to comply with EN 10204 type 3.1 and certifying the Goods as grade 316L with a molybdenum content of between 2.1% and 2.2% and a 0.2% proof strength exceeding 200 N/mm² ("the Certificates").

Incorporation and the failures

8. The Claimant machined and finished the bar supplied under the Purchase Orders into Type CDF-316 marine deck-fastener assemblies ("the Assemblies"), which it supplied to its customers including Wexbourne Retail Group Limited ("Wexbourne") under a supply contract dated 2 May 2023.

9. From about August 2024 the Claimant received reports from end users of premature pitting corrosion and head failure of Assemblies in service in coastal and marine environments, including reports of fastener failure within months of installation.

10. The Claimant commissioned independent metallurgical testing of retained bar and of failed Assemblies by Wraysbury Materials Laboratory. By a report dated 5 September 2025 ("the Wraysbury Report"), Wraysbury found, in respect of the bar supplied under Purchase Orders PO-2024-0241 and PO-2024-0307 (heat numbers H-4471, H-4472 and H-4488), that:

    (i) the molybdenum content of the bar was between 1.1% and 1.4%, materially below the 2.0% minimum required of grade 316L and consistent with grade 304 / 304L;

    (ii) the pitting resistance equivalent number (PREN) of the bar was approximately 18, substantially below the value expected of conforming 316L (approximately 24 or higher);

    (iii) the 0.2% proof strength of the bar fell below the specified minimum of 200 N/mm² in two of the five samples tested; and

    (iv) the bar from those heats was not grade 316L and was not fit for use in marine fastener assemblies.

Whitfield Carter LLP is a limited liability partnership registered in England and Wales (OC394821). Authorised and regulated by the Solicitors Regulation Authority. Confidential and may be legally privileged.

11. The Certificates relating to those heats did not reflect the material actually supplied. The Claimant relied upon the Certificates in accepting the Goods and in incorporating them into the Assemblies.

Breach of contract

12. By reason of the matters set out above, the Defendant was in breach of the express terms of the Supply Agreement pleaded at paragraph 5 above and of the implied terms pleaded at paragraph 7 above, in that the Goods supplied under Purchase Orders PO-2024-0241 and PO-2024-0307 did not correspond with their description, were not of satisfactory quality, were not fit for the purpose made known to the Defendant, and did not comply with the specified standards.

13. As against the Claimant, it is no answer for the Defendant to contend that it is a stockholder which relied upon the mill test certificate provided to it. As seller of the Goods the Defendant was responsible to the Claimant for their description, quality and fitness regardless of the source from which the Defendant obtained them, and any remedy the Defendant may have lies against its own supplier.

Causation and loss

14. By reason of the Defendant's breaches, the Assemblies incorporating the non-conforming bar were liable to and did corrode and fail prematurely, and the Claimant has suffered loss and damage.

15. PARTICULARS OF LOSS AND DAMAGE

    (h) Cost of investigation, metallurgical testing and analysis: £84,500;

    (i) Cost of recall and field replacement of affected Assemblies, including labour, replacement parts and logistics: £612,000;

    (j) Scrap, rework and customer credits in respect of non-conforming and recalled stock: £298,400;

    (k) Loss of profit consequent on the termination by Wexbourne of the supply contract dated 2 May 2023 on 11 December 2024, net of credit for replacement business secured by the Claimant in mitigation,: £710,000;

    (l) Wasted management and staff time reasonably incurred in investigating and managing the failures and recall: £62,500.

16. The total of the Claimant's loss and damage is £1,767,400, alternatively such sum as the Court finds proved.

Interest

17. The Claimant claims interest on the sums found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit.

AND the Claimant claims:

(v) Damages in the sum of £1,767,400, alternatively damages to be assessed;

(vi) Interest pursuant to section 35A of the Senior Courts Act 1981;

(vii) Costs; and

(viii) Further or other relief.

Whitfield Carter LLP is a limited liability partnership registered in England and Wales (OC394821). Authorised and regulated by the Solicitors Regulation Authority. Confidential and may be legally privileged.

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. The Claimant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: .....
Tom Gallagher, Whitfield Carter LLP, solicitors for the Claimant
Dated: [ ] December 2025

Whitfield Carter LLP is a limited liability partnership registered in England and Wales (OC394821). Authorised and regulated by the Solicitors Regulation Authority. Confidential and may be legally privileged.